

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2022-002088

B E T W E E N:

HMRC V DOLPHIN DRILLING LTD

APPELLANT'S CASE

Counsel: David Ewart KC; Quinlan Windle (instructed by HMRC Solicitor's Office)

SUMMARY OF POSITION

1. The Appellant seeks to establish that the Borgsten Dolphin constitutes a 'relevant asset' under Part 8ZA of the Corporation Tax Act 2010, thereby subjecting lease payments to the statutory hire cap for the 2014-2015 accounting periods.

FACTS RELIED ON

2. Dolphin leased the Borgsten Dolphin and supplied it to Total E&P; UK for the Dunbar platform.
3. The Borgsten provided tender-assisted drilling (TAD) and related TSV services.
4. Sleeping accommodation was provided for Total personnel (initially around 40 berths, later increased).
5. The relevant accounting periods were calendar years 2014 and 2015; Part 8ZA CTA 2010 applied with effect from 1 April 2014.

CONTENTIONS / GROUNDS OF APPEAL

6. The Borgsten's provision of sleeping accommodation for offshore workers was a significant and intended use, not merely incidental to its other functions as a TSV.
7. Accordingly, the Borgsten was a 'relevant asset' for the purposes of Part 8ZA CTA 2010 (ss. 356L–356LA), so the statutory hire cap on deductible payments applied to Dolphin's 2014–2015 periods.
8. The First-tier Tribunal misdirected itself in law on 'incidental' use under s.356LA(3); the Upper Tribunal erred in upholding that approach.
9. The 'reasonable to suppose' assessment is to be carried out prospectively by reference to the use to which the asset is likely to be put in the relevant accounting period; on the facts, accommodation use could not reasonably be supposed to be no more than incidental.

LEGAL BASIS

10. The Appellant relies upon the following legal provisions:

- Corporation Tax Act 2010, Part 8ZA (Oil Contractors), including ss. 356K (overview), 356L (definitions), 356LA (relevant asset), 356M.
- Finance Act 2014, s.73 and Schedule 16 (inserting Part 8ZA into CTA 2010).

RELIEF SOUGHT

11. The Appellant respectfully requests that this Honourable Court:

- (a) Allow the appeal.
- (b) Set aside the decision of the Upper Tribunal and the FTT's conclusion on 'incidental' use.
- (c) Declare that the Borgsten is a 'relevant asset' and that the hire cap in Part 8ZA applies to Dolphin's 2014 and 2015 accounting periods.
- (d) Remit for any necessary consequential computations.

AUTHORITIES CITED

- *Robson v Dixon (Pennycuik V-C)* [1972] 1 WLR 1493
- *Proctor & Gamble UK v HMRC* [2009] EWCA Civ 407

CHRONOLOGY OF EVENTS

Date	Event
1 August 2011	Total invited tenders for TAD and accommodation services for the Dunbar project.
10 November 2011	Dolphin awarded Letter of Intent indicating intention to engage the Borgsten as a TSV with accommodation services.
1 February 2012	Contract signed between Total and Dolphin; accommodation initially specified for 40 Total personnel.
1 October 2012	Commencement of services under the contract (per case narrative).
1 April 2014	Part 8ZA of the CTA 2010 treated as coming into force.
1 October 2014	Start of relevant accounting period for 2014.
31 December 2014	End of 2014 accounting period.
1 January 2015	Start of 2015 accounting period.
31 December 2015	End of 2015 accounting period.

Filing Date: 2022-12-15

David Ewart KC